GradientCIO

INVESTMENT COMMITTEE MEMO

# Rebalance: Gradient Global Growth III

Example Foundation · Prepared for the Investment Committee · Meeting 2026-10-15

| MEMO TYPE | MEETING DATE | DATA AS OF |
|---|---|---|
| Rebalance | 2026-10-15 | 2026-09-30 |
| **BASE CURRENCY** | **ASSUMPTION SET** | **STATUS** |
| USD | ICAPM Q3 2026 | Draft |

IPS STATUS

**2 breaches · 1 watch · 3 not assessed**

# 01 Recommendation and Decision Requested

IPS STATUS

**2 breaches · 1 watch · 3 not assessed**

RECOMMENDATION

Reduce public equity by 400 bps to 48.0% and add 400 bps to cash (200 bps) and fixed income (200 bps) to cure two IPS band breaches S1. The Committee is asked to approve the rebalance in Section 13.1, executed over 30 days.

| TRAILING 1Y VS BENCHMARK | IPS BREACHES | EXPECTED RETURN VS OBJECTIVE | T1 LIQUIDITY |
|---|---|---|---|
| +49 bps | 2 | −28 bps | 44.6% |
| 6.9% net return S2 | 1 additional Watch S1 | 6.7% vs 7.0% S3 | 15.0% minimum S1 |

**ILLUSTRATIVE DATA** — Figures marked [S#] use the scope "Illustrative, Gradient Maintained — demo data, not the client's holdings or managers."

## Reduce public equity by 400 bps and fund fixed income and cash.

Decision requested: approve the 30-day rebalance S1

| FIELD | VALUE |
|---|---|
| Memo type | Rebalance |
| Portfolio | Gradient Global Growth III (example-portfolio-id; Illustrative, Gradient Maintained — demo data, not the client's holdings or managers) |
| Organization | Example Foundation |
| Prepared for | Investment Committee |
| Meeting date | 2026-10-15 |
| Data as of | 2026-09-30 |
| Assumption set | Gradient ICAPM Global Baseline, Q3 2026 (USD) — CMA release Q3-2026-policy-v2.1 (2026-09-11) |
| Base currency | USD |
| Status | DRAFT — for committee review |
| Data quality | Illustrative |

**Recommendation:** Reduce public equity by 400 bps to 48.0% and add 400 bps to cash (200 bps) and fixed income (200 bps) to cure two IPS band breaches.

**Decision requested:** The Committee is asked to approve the rebalance in Section 13.1, executed over 30 days.

**Rationale (three points, most important first):**

1. Fixed income (19.0%) and cash (1.0%) are below their IPS minimums S1.
2. Cash at 1.0% leaves no operating buffer for 12-month calls of USD 180.0m S1 S9.
3. The change lowers expected volatility by 60 bps with a 15 bps reduction in expected return S3.

**Key risks (three points, most material first):**

1. Risk-limit compliance is not assessed because the persisted thresholds do not specify a governed observation horizon and return basis S1.
2. Expected return remains 28 bps below the CPI + 4.5% objective S1 S3.
3. Gradient's real estate assumption is 499 bps above consensus S4.

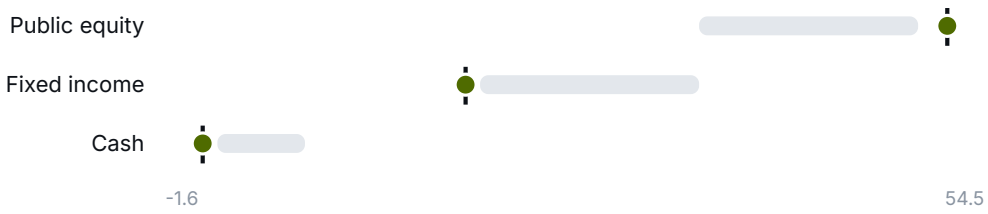
**Conditions to approval:**

1. Confirm the inflation assumption used for the real return objective (Section 15, item 1).

## 02 Executive Summary

- **Positioning:** Public equity is 700 bps overweight and fixed income 600 bps underweight versus policy S1.
- **IPS:** 6 constraints Compliant, 1 Watch, 2 Breach, 3 Not assessed. Breaches: fixed income band and cash band.
- **Performance:** 1Y return 6.9% versus 6.4% for the policy benchmark (+49 bps). Governed attribution is unavailable for the selected period S2.
- **Outlook:** Expected return 6.7% versus a 7.0% objective, volatility 13.1%, 44.0% probability of meeting the objective S3.
- **Liquidity & diligence:** Stress coverage 2.61 on the liquidity model; zero High diligence findings S1 S5 S9.

DECISION RANGES (TEST)




**Key judgment — Policy drives the decision**

Observation: Two allocation bands are in Breach S1. Why it matters: The proposed rebalance cures both. Uncertainty: Risk-limit observations remain unavailable. What would change the view: Aligned risk evidence that changes implementation capacity.

**Key judgment — Liquidity supports implementation**

Observation: T1 liquidity is 44.6% versus a 15.0% minimum S1. Why it matters: It provides implementation capacity. Uncertainty: Private valuations lag. What would change the view: An updated liquidity schedule that reduces the cushion.

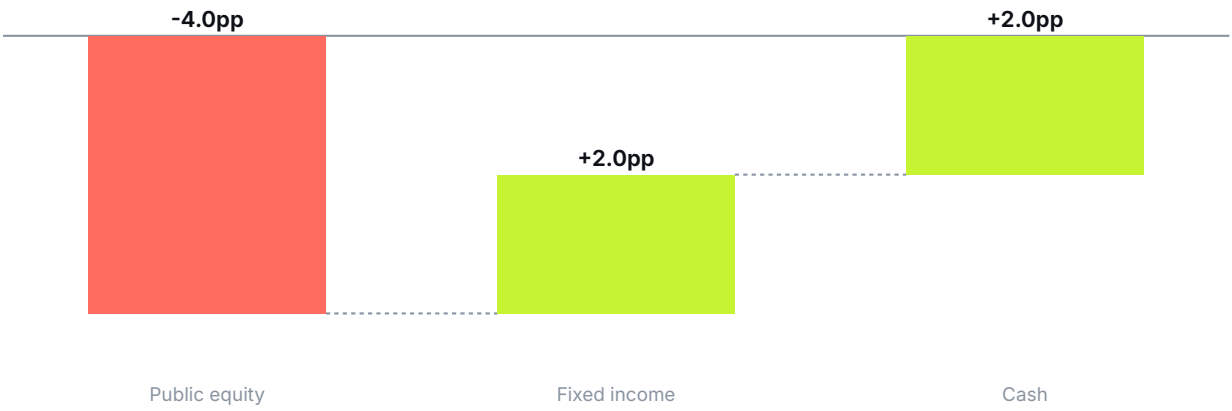
**Key judgment — Return tradeoff is modest**

Observation: The proposed case lowers return 15 bps and volatility 60 bps S3. Why it matters: The tradeoff accompanies breach correction. Uncertainty: These are assumptions. What would change the view: A refreshed CMA with materially different estimates.

## 03 Portfolio Snapshot

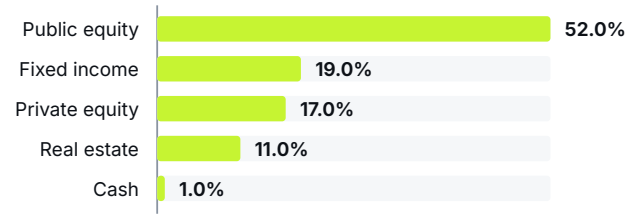
| ITEM | VALUE | SOURCE |
|---|---|---|
| Total NAV | USD 3375.0m | S1 |
| Unfunded commitments | USD 420.0m | S1 |
| Number of holdings / commitments | 56 | S1 |
| Number of managers | 18 | S1 |
| Valuation date(s) | 2026-09-30; private funds 2026-06-30 (one quarter lag) | S1 |

## PROPOSED ALLOCATION CHANGES (PERCENTAGE POINTS)




| ASSET CLASS | CURRENT WEIGHT | POLICY TARGET | RANGE (MIN–MAX) | ACTIVE (BPS) | STATUS |
|---|---|---|---|---|---|
| public_equity | 52.0% | 45.0% | 35.0%–55.0% | +700 bps | Compliant |
| fixed_income | 19.0% | 25.0% | 20.0%–30.0% | −600 bps | Breach |
| private_equity | 17.0% | 15.0% | 10.0%–20.0% | +200 bps | Compliant |
| real_estate | 11.0% | 10.0% | 5.0%–12.0% | +100 bps | Compliant |
| cash | 1.0% | 5.0% | 2.0%–8.0% | −400 bps | Breach |
| Total | 100.0% | 100.0% | | | |

## CURRENT WEIGHT BY ASSET CLASS




## ACTIVE WEIGHT VS POLICY (BPS)




**Analysis — Two sleeves need correction**

Observation: Fixed income and cash are below policy minimums S1. Why it matters: The breaches drive trade sizing. Uncertainty: Valuations can move weights. What would change the view: Updated valuations that restore compliance.

# 04 IPS Compliance

| # | CONSTRAINT | IPS REQUIREMENT | CURRENT | STATUS | SOURCE |
|---|---|---|---|---|---|
| 1 | Allocation — public_equity | 35.0%–55.0% | 52.0% | Compliant | IPS §4.1 |
| 2 | Allocation — fixed_income | 20.0%–30.0% | 19.0% | Breach | IPS §4.1 |
| 3 | Allocation — private_equity | 10.0%–20.0% | 17.0% | Compliant | IPS §4.1 |
| 4 | Allocation — real_estate | 5.0%–12.0% | 11.0% | Compliant | IPS §4.1 |
| 5 | Allocation — cash | 2.0%–8.0% | 1.0% | Breach | IPS §4.1 |
| 6 | Return objective | CPI + 4.5% | 6.7% | Watch | IPS §3.1 |
| 7 | Expected volatility | ≤ 14.0% | Not available — observation basis unaligned | Not Assessed | IPS §3.2 |
| 8 | Expected max drawdown | ≤ 35.0% | Not available — observation basis unaligned | Not Assessed | IPS §3.2 |
| 9 | T1 liquidity (% NAV) | ≥ 15.0% | 21.0% | Compliant | IPS §5.1 |
| 10 | Liquidity coverage ratio | ≥ 1.50 | 2.61 | Compliant | IPS §5.3 |
| 11 | Largest single manager (% NAV) | ≤ 10.0% | 8.5% | Compliant | IPS §6.1 |
| 12 | No direct tobacco holdings | prohibited | n/a | Not Assessed | IPS §7.1 |

### POLICY CONSTRAINT STATUS

| | | |
|---|---|---|
| **Allocation** | Breach | Two breached bands S1 |
| **Return** | Watch | Objective gap S1 |
| **Risk** | Not Assessed | Observation basis unavailable S1 |
| **Liquidity** | Compliant | Minimum met S1 |
| **Concentration** | Compliant | Manager cap met S1 |

### POLICY STATUS MATRIX (TEST)

| CONSTRAINT | STATUS SCORE |
|---|---|
| ALLOCATION | -1.0 |
| LIQUIDITY | 1.0 |
| CONCENTRATION | 1.0 |
| RISK EVIDENCE | 0.0 |

**Summary:** 6 Compliant, 1 Watch, 2 Breach, 3 Not assessed. **Breaches and required actions:** Fixed income and cash bands — cured by the Section 13 rebalance.

### CONCENTRATION VS LIMIT



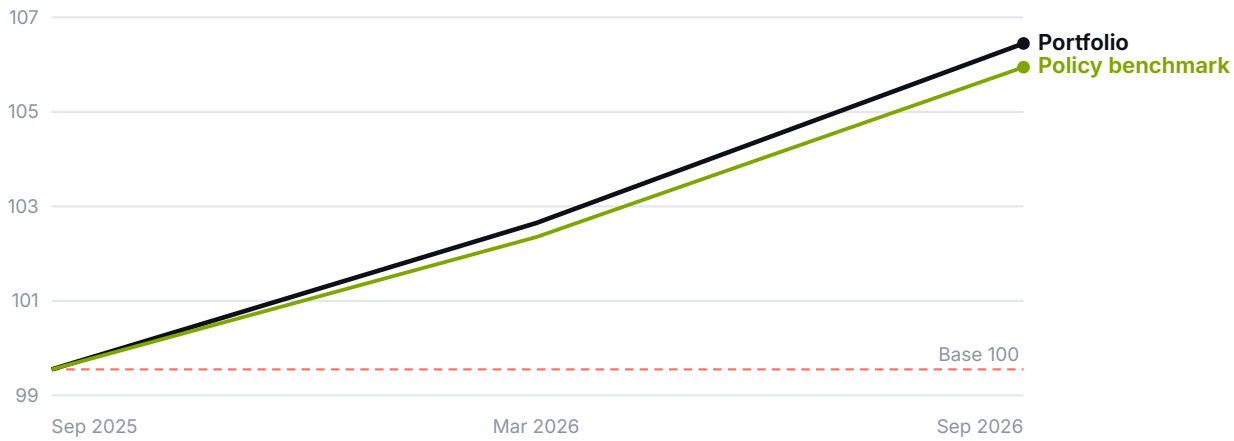
**Analysis — Compliance evidence is mixed**

Observation: Allocation has two Breaches while risk is Not assessed S1. Why it matters: Allocation can be addressed now. Uncertainty: Risk evidence is incomplete. What would change the view: Aligned risk observations that alter the policy conclusion.

# 05 Performance & Attribution

## 5.1 Returns

GROWTH OF 100




| PERIOD | PORTFOLIO | POLICY BENCHMARK | EXCESS (BPS) | BASIS |
|---|---|---|---|---|
| QTD | 1.8% | 1.6% | +20 bps | Net |
| YTD | 5.2% | 4.9% | +30 bps | Net |
| 1Y | 6.9% | 6.4% | +49 bps | Net |
| 3Y ann. | 7.4% | 7.1% | +30 bps | Net |
| 5Y ann. | n/a | n/a | n/a | Net |
| Since inception ann. | 7.0% | 6.8% | +20 bps | Net |

## 5.2 Attribution — 1Y

Not available — `get_portfolio_attribution` returned `coverage.status: unavailable` with `no_weight_cohorts`; no local attribution was derived S2.

## 5.3 Top contributors and detractors

| RANK | CONTRIBUTORS | CONTRIBUTION (BPS) | DETRACTORS | CONTRIBUTION (BPS) |
|---|---|---|---|---|
| 1 | Manager A (public equity) | +31 bps | Manager F (buyout) | −14 bps |
| 2 | Manager B (public equity) | +12 bps | Manager G (core bonds) | −6 bps |

CALENDAR-YEAR RETURNS




**1Y attribution — total effect by asset class (bps)**

Not available — the governed attribution result returned no weight cohorts S2

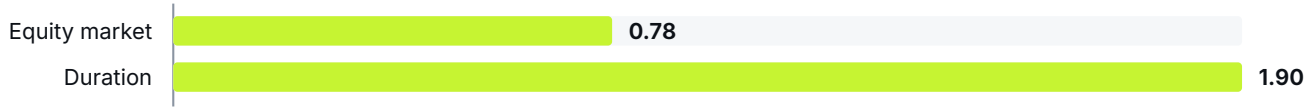
**Analysis — Relative return stayed positive**

Observation: The portfolio exceeded policy by 49 bps over one year S2. Why it matters: It supplies context, not causation. Uncertainty: Attribution is unavailable. What would change the view: A reconciled effect decomposition.

# 06 Factor Exposures & Concentration

## 6.1 Factor exposures

FACTOR AND CURRENCY EXPOSURE (TEST)




| FACTOR | EXPOSURE | BENCHMARK EXPOSURE | ACTIVE | UNITS | SOURCE |
|---|---|---|---|---|---|
| Equity market | 0.78 | 0.70 | 0.08 | beta | S6 |
| Duration | 1.90 | 2.40 | −0.50 | years | S6 |

## 6.2 Concentration and diversification

| METRIC | VALUE | IPS LIMIT | STATUS | SOURCE |
|---|---|---|---|---|
| Largest single manager (% NAV) | 8.5% | 10.0% | Compliant | S1 |
| Top 5 managers (% NAV) | 34.0% | n/a | Not Assessed | S1 |
| Largest single holding look-through (% NAV) | n/a | n/a | Not Assessed | Not available — no look-through data |
| Effective number of positions | 14.20 | n/a | N/A | S6 |
| Diversification ratio | 1.32 | n/a | N/A | S6 |
| Equity beta to global equities | 0.78 | n/a | Not Assessed | S6 |

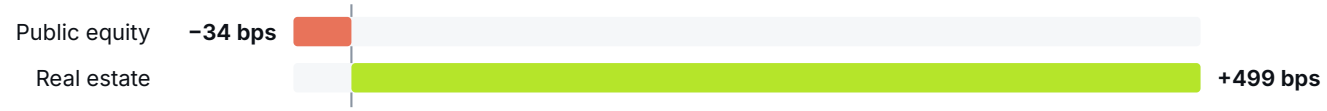
**Analysis — Concentration remains within limit**

Observation: The largest manager is 8.5% versus a 10.0% limit S1. Why it matters: The returned measure is compliant. Uncertainty: Look-through holdings are incomplete. What would change the view: Completed holdings showing higher concentration.

# 07 Expected Return & Risk

**Assumptions:** Gradient ICAPM Global Baseline Q3 2026, CMA release Q3-2026-policy-v2.1, 10-year horizon, USD, unhedged.

GRADIENT VS CONSENSUS GAP (BPS)




Example consultant CMA survey, 2025-12-31 S4

### 7.1 Portfolio expected statistics

| METRIC | CURRENT | PROPOSED | POLICY PORTFOLIO | IPS OBJECTIVE / LIMIT | STATUS |
|---|---|---|---|---|---|
| Expected return (nominal, ann.) | 6.7% | 6.6% | 6.5% | 7.0% | Watch |
| Expected excess return over cash | 2.9% | 2.8% | 2.7% | n/a | N/A |
| Expected volatility (ann.) | 13.1% | 12.5% | 12.0% | 14.0% | Watch |
| Sharpe ratio | 0.22 | 0.22 | 0.23 | n/a | N/A |
| Expected max drawdown | 38.0% | 36.5% | 35.0% | 35.0% | Breach |
| 95% CVaR (1-year) | 21.0% | 20.0% | 19.5% | n/a | Not Assessed |
| Probability of meeting return objective | 44.0% | 42.0% | 40.0% | n/a | N/A |

### 7.2 Consensus check

| ASSET CLASS | GRADIENT EXPECTED EXCESS | CONSENSUS REFERENCE | GAP (BPS) | COMPARABILITY | SOURCE |
|---|---|---|---|---|---|
| public_equity | 4.7% | 5.1% | −34 bps | proxy | S4 |
| real_estate | 7.6% | 2.6% | +499 bps | direct | S4 |

**Allocation-implied return:** Gradient 8.2% vs consensus 6.7% (Example consultant CMA survey, 2025-12-31) S4. **Assumption quality:** quality receipt unvalidated; repeated higher moments flagged for two equity factors S4.

### 7.3 Regime overlay

**Current regime:** GRIP 76 (Defensive), as of 2026-10-01, coverage 0.95, degraded (one lagging input) S7. **Effect on expectations:** Regime adjustment not available — baseline shown.

GRIP
**76**
Defensive S7

POLICY EXPECTED RETURN
**6.5%**
Baseline S3

RETURN OBJECTIVE
**7.0%**
IPS S1

**Analysis — Assumption gap needs review**
Observation: Real estate is 499 bps above consensus S4. Why it matters: The gap affects the forward case. Uncertainty: Dates and model bases differ. What would change the view: Aligned assumptions that narrow the gap.

# 08 Stress Tests & Scenarios

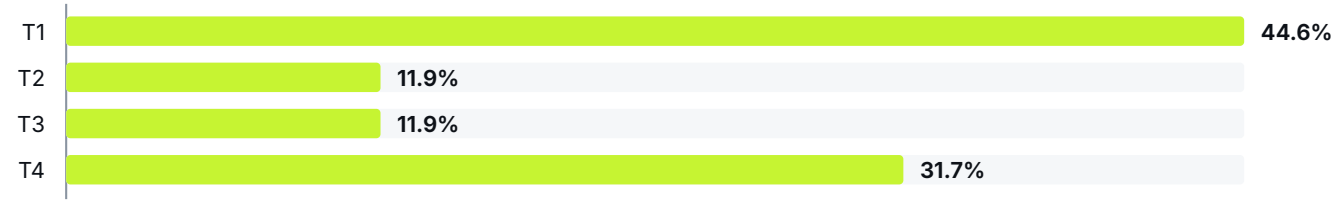
| SCENARIO | TYPE | PORTFOLIO IMPACT | POLICY IMPACT | LIQUIDITY COVERAGE AFTER | SOURCE |
|---|---|---|---|---|---|
| 2008 global financial crisis | Historical | −24.0% | −21.0% | 2.61 | S8 |
| 5th percentile, 1 year | Simulated percentile | −14.0% | −12.5% | 3.80 | S8 |

**Robustness:** Results are stable across start dates within ±80 bps of expected return S8.

# 09 Liquidity

## 9.1 Liquidity tiers

LIQUIDITY TIERS (% NAV)




LIQUIDITY TIER MIX (TEST)



| TIER | DEFINITION | % NAV | AMOUNT (USD M) | SOURCE |
|---|---|---|---|---|
| T1 | Daily to weekly | 44.6% | 1505.0 | S1 |
| T2 | Monthly to quarterly | 11.9% | 400.0 | S1 |
| T3 | Semi-annual to 2 years | 11.9% | 400.0 | S1 |
| T4 | Over 2 years / locked / private | 31.7% | 1070.0 | S1 |
| Total | | 100.0% | 3375.0 | |

### 9.2 Coverage

| METRIC | BASE CASE | STRESS CASE | IPS MINIMUM | STATUS | SOURCE |
|---|---|---|---|---|---|
| T1 liquidity (% NAV) | 44.6% | 42.4% | 15.0% | Compliant | S1 S11 |
| Unfunded commitments (USD m) | 420.0 | 420.0 | n/a | N/A | S1 |
| 12-month spending / distributions (USD m) | 150.0 | 150.0 | n/a | N/A | S1 |
| Liquidity coverage ratio | 5.77 | 2.61 | 1.50 | Compliant | S1 S11 |
| Private markets % NAV (incl. unfunded) | 36.1% | 36.1% | 40.0% | Watch | S1 |

- HF B placed in T4 (gated).

**Pacing:** Projected 12-month calls USD 180.0m against distributions of USD 95.0m S9.

COMMITMENTS LIQUIDITY SCORECARD (TEST)

| METRIC | VALUE |
|---|---|
| Stress coverage | 2.61 |

COMMITMENT PACING (TEST)

| PERIOD | CALLS |
|---|---|
| Next 12 months | 180,000,000 |

COMMITMENT CASH FLOW (TEST)

| PERIOD | DISTRIBUTIONS |
|---|---|
| Next 12 months | 95,000,000 |

**Analysis — Liquidity clears the minimum**

Observation: Stress coverage is 2.61 versus a 1.50 minimum S1 S11. Why it matters: It supports implementation. Uncertainty: Calls are projected. What would change the view: An updated commitment schedule that reduces coverage.

# 10 Manager & Operational Diligence

| MANAGER | STRATEGY | EXPOSURE (% NAV) | ODD RED FLAGS | OPEN FINDINGS (H/M/L) | MONITOR ALERTS | GIPS STATUS | LAST REVIEW | SOURCE |
|---|---|---|---|---|---|---|---|---|
| Manager A | Global equity | 8.5% | 0 | 0/1/0 | 0 | Claims, verified | 2026-06-30 | S5 |
| Other (17 managers) | Various | 91.5% | n/a | 0/2/3 | 0 | N/A | n/a | S5 |

MEDIUM **Verification follow-up**

Manager A verification report remains open at 8.5% exposure S5.

**Exposure-weighted findings:** No active High findings S5. **Attention queue:** None overdue S5.

**Analysis — No high findings returned**

Observation: No active High findings were returned S5. Why it matters: Immediate operational concern is lower. Uncertainty: Verification remains open. What would change the view: New findings or completed verification evidence.

# 11 Performance Integrity & GIPS

## 11.1 Total fund

Not assessed — no GIPS Asset Owner Report provided.

## 11.2 Manager A

**Overall assessment:** Satisfactory with follow-ups. Verification report for the latest year not yet received.

# 12 Market Context

- **Regime:** GRIP 76, Defensive; rates and cross-asset pillars are the main pressure S7.
- **Key indicators:** Core PCE index rose 0.3% over three months S10.
- **Current thesis:** Diesel margins carry the Gulf energy premium; confirm above USD 102/bbl crack S10.
- **Upcoming catalysts:** US CPI on 2026-10-14; FOMC on 2026-10-28 S10.

GRIP
**76**
2026-10-01 S7

CORE PCE
**+0.3%**
3 months S10

NEXT CPI
**Oct 14**
2026 S10

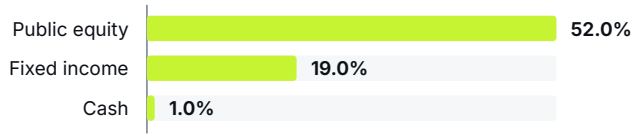
**Analysis — Macro context is defensive**

Observation: GRIP is 76 and Defensive S7. Why it matters: It informs pacing, not the breach decision. Uncertainty: One input is stale. What would change the view: A refreshed signal with a different regime.

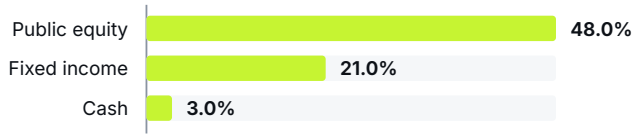
# 13 Proposed Changes & Impact

## 13.1 Allocation change

CURRENT WEIGHTS




PROPOSED WEIGHTS




| ASSET CLASS / MANAGER | CURRENT | PROPOSED | CHANGE (BPS) | FUNDING SOURCE | IPS STATUS AFTER |
|---|---|---|---|---|---|
| public_equity | 52.0% | 48.0% | −400 bps | Index fund | Compliant |
| fixed_income | 19.0% | 21.0% | +200 bps | Public equity | Compliant |
| cash | 1.0% | 3.0% | +200 bps | Public equity | Compliant |

## 13.2 Impact summary

| MEASURE | CURRENT | PROPOSED | CHANGE | SOURCE |
|---|---|---|---|---|
| Expected return | 6.7% | 6.6% | −15 bps | S3 |
| Expected volatility | 13.1% | 12.5% | −60 bps | S3 |
| Sharpe ratio | 0.22 | 0.22 | 0.00 | S3 |
| T1 liquidity (% NAV) | 44.6% | 46.6% | +200 bps | S11 |
| Liquidity coverage ratio | 2.61 | 2.70 | 0.09 | S11 |
| IPS breaches | 2 | 0 | −2 | S11 |
| Estimated transaction cost (bps) | n/a | 3 bps | +3 bps | S11 |

**Implementation:** Sell the index fund in two tranches over 30 days; buy core bonds and Treasury bills S11.
**Alternatives considered:** No change — rejected because two band breaches and the coverage breach would remain. Full rebalance to policy — rejected because it would sell 700 bps of equity into a Defensive regime in one step.

> **Analysis — Proposal cures both breaches**
> Observation: Proposed weights reduce IPS breaches from two to zero S11. Why it matters: The change addresses the decision. Uncertainty: Costs and market movement remain unknown. What would change the view: An implementation estimate that materially changes sizing.

## 14 Risks & Mitigants

| # | RISK | RATING | EVIDENCE | MITIGANT | OWNER |
|---|---|---|---|---|---|
| 1 | Risk-limit compliance not assessed | Medium | Persisted thresholds lack a governed observation horizon and return basis S1 | Approve an observation basis before evaluating volatility, drawdown or CVaR compliance | CIO |
| 2 | Real estate CMA well above consensus | Medium | +499 bps gap S4 | Run Section 7 with consensus real estate assumption before the next review | Analyst |
| 3 | Return objective shortfall | Low | −28 bps S3 | Revisit spending policy at the annual review | Committee |

HIGH
**0**
No High risks S1

MEDIUM
**2**
Basis and CMA S1 S4

LOW
**1**
Objective gap S3

## 15 Open Items & Conditions

| # | ITEM | REASON | TIMING | OWNER |
|---|---|---|---|---|
| 1 | Confirm inflation assumption for real return objective | IPS does not state one | Before approval | CIO |
| 2 | Provide look-through holdings | Not available | Next review | Operations |
| 3 | Obtain Manager A verification report | GIPS follow-up | Within 30 days | Analyst |
| 4 | Provide GIPS Asset Owner Report | Not provided | Next review | Operations |
| 5 | Define the governed policy-risk observation horizon and return basis | Risk rows are not assessed without aligned observations | Next review | CIO |

## 16 Approvals

| ROLE | NAME | DECISION | DATE |
|---|---|---|---|
| Prepared by | | N/A | |
| Reviewed by (CIO) | | | |
| Committee chair | | | |

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# A Appendix — Sources

| REF | SOURCE | PARAMETERS | AS OF | DATA SCOPE | VALIDATION | DIGEST |
|---|---|---|---|---|---|---|
| S1 | get_portfolio_exposure; get_portfolio_structure; check_portfolio_policy | portfolio_id=example; governed policy and exposure views | 2026-09-30 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | passed | n/a |
| S2 | get_portfolio_historical_returns; get_portfolio_attribution | portfolio_id=example; policy benchmark; performance available; attribution unavailable ( `no_weight_cohorts` ) | 2026-09-30 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | partial | n/a |
| S3 | check_portfolio_policy; user document | return_objective; forward-analysis.pdf | 2026-09-11 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | passed | n/a |
| S4 | get_cma_consensus_check | mode=allocation | 2026-06-30 | Mixed — Illustrative, Gradient Maintained — demo data, not the client's holdings or managers + User-Authorized Live | passed | n/a |
| S5 | get_manager_diligence_findings | view=exposure_weighted | 2026-10-02 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | advisory | n/a |
| S6 | get_chart_data | portfolio_id=example; analysis_type=allocations | 2026-09-30 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | passed | n/a |
| S7 | get_macro_signals | view=gradient_signal (sources.grip) | 2026-10-01 | User-Authorized Live | passed | n/a |

| REF | SOURCE | PARAMETERS | AS OF | DATA SCOPE | VALIDATION | DIGEST |
|---|---|---|---|---|---|---|
| S8 | Illustrative scenario assumptions | 2008 historical; 5th percentile | 2026-09-30 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | not applicable | n/a |
| S9 | get_chart_data | portfolio_id=example; analysis_type=commitments | 2026-06-30 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | passed | n/a |
| S10 | get_macro_conditions; get_the_read; get_macro_calendar | theme=inflation; am edition; 30 days | 2026-10-02 | User-Authorized Live | passed | n/a |
| S11 | Server-returned illustrative proposed-case analysis | target weights and implementation estimate per Section 13.1 | 2026-09-30 | Illustrative, Gradient Maintained — demo data, not the client's holdings or managers | passed | n/a |

# B Appendix — Server Metric Methods

| SOURCE | QUANTITY | METHOD / FORMULA ID | VERSION | BASIS AND TOLERANCE |
|---|---|---|---|---|
| S1 | IPS status, active weights, liquidity and concentration | check_portfolio_policy | 2026-10-05.v1 | Governed inputs only; preserve returned thresholds and coverage |
| S2 | Realized returns and risk | get_portfolio_historical_returns | as returned | Preserve period labels, annualization, benchmark basis, units and coverage |
| S2 | Realized attribution | Not available | n/a | `no_weight_cohorts`; no formula or result asserted |
| S6 | Effective number of positions | Portfolio Analytics allocations metric | as returned | Preserve chart-pack basis and fingerprint |
| S11 | Proposed-case impacts | Portfolio Analytics proposed-case analysis | as returned | Same basis as current case |

# C Appendix — Methodology & Disclosures

- Expected returns and risk are forward-looking assumptions from Gradient ICAPM Global Baseline Q3 2026, not forecasts or guarantees. Actual results will differ.
- Performance is shown net of manager fees. Periods over one year are annualized.
- Attribution is unavailable for this example because no governed segment-weight cohort was returned; no local fallback is used. Factor model: Portfolio Analytics factor/currency exposure.
- Private-markets valuations may lag by 3 months; values as of 2026-06-30.
- Data sources and retrieval dates are listed in Appendix A. Sections using illustrative data are marked; they do not describe the organization's holdings.
- GIPS assessments are diligence reviews against the 2020 GIPS standards, not verifications or legal opinions.
- This memo was prepared with AI assistance from structured data and reviewed by the preparer.